

Local Fiscal Capacity and Credit Spreads

Professional Research Memo

Question. How do local fiscal capacity indicators relate to credit bond spreads across regions?

Motivation. Fixed-income research on local-government financing requires more than tracking yields. Credit spreads can reflect fiscal capacity, land-market revenue, refinancing pressure, regional growth, maturity structure, liquidity, and rating segmentation. This memo turns that internship-style analytical logic into a public reproducible workflow. Data. The portfolio version uses synthetic region-month sample data. The intended public-data version would combine local fiscal indicators, land-transfer revenue, regional macro controls, and public bond-spread indicators. No employer-internal data are included. Variables. The dependent variable is credit spread, calculated as weighted yield minus benchmark yield. Fiscal explanatory variables include fiscal self-sufficiency, land-revenue share, debt-pressure proxy, and GDP growth. Outputs. Table 1 reports descriptive statistics by region. Figure 1 shows credit-spread movements across regions. Figure 2 compares fiscal self-sufficiency and land-revenue reliance. Table 2 reports a simple OLS specification relating credit spreads to fiscal and regional indicators.

Interpretation. In the sample workflow, weaker fiscal self-sufficiency, higher land-revenue reliance, and higher debt pressure are organized as potential correlates of wider credit spreads. The project does not claim causal identification. Its value is in building a transparent bridge from raw fiscal/market indicators to professional credit-risk interpretation.

Portfolio contribution. This memo shows that fixed-income internship work can be reframed as economic analysis: defining a fiscal-credit question, constructing variables, merging regional panel data, producing charts/tables, and documenting confidentiality boundaries.